NEXORA INDUSTRIES

Price Changes and Price Discrepancies

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Nexora Industries is a fictional company. This synthetic document was created for a portfolio demonstration and does not describe a real organisation.

1. Purpose

This procedure describes how supplier price changes are requested, approved and recorded, and how differences between the purchase order price and the invoice price are resolved.

2. Supplier price increase requests

- A supplier must submit a price increase request in writing, with a cost breakdown (materials, labour, energy, logistics) and supporting evidence.
- The buyer analyses the request against market indices and the contract terms, and gives the supplier a written answer within 30 calendar days.
- No price increase may be applied until the contract or price agreement has been updated and approved with the approval matrix of NX-PUR-002, applied to the annual financial impact of the increase.
- Retroactive price increases are not accepted.

3. Raw material indexation

- Index-based price adjustments are only allowed for contracts that contain an indexation clause, in the steel, aluminium, copper and plastic resin categories.
- The index is reviewed every quarter. The price is adjusted only if the index has moved by more than 5%, up or down, since the last adjustment.
- The adjustment applies only to the raw material share of the part price, and uses published reference indices such as the London Metal Exchange for aluminium and copper.

4. Price records in the ERP

Procurement Operations updates the price records in the ERP within 5 business days after receiving the signed price agreement. Any change with an annual impact above €10,000 is checked by a second person (four-eyes principle) before it is activated.

5. Invoice price tolerance

An invoice line is accepted automatically when the difference between the invoice price and the PO price is no more than 2% and no more than €100. If either limit is exceeded, the invoice is blocked for payment (price block).

6. Resolving price discrepancies

The buyer responsible for the purchase order must resolve a price block within 10 business days, either by correcting the PO price when the invoiced price is contractually valid and approved, or by asking the supplier for a credit note or a corrected invoice. A buyer must never change a PO price only to release an invoice without a valid price agreement.

7. Escalation of open discrepancies

Business days open	Owner
0 to 10	Buyer (level 1)
11 to 20	Category Manager (level 2)
More than 20	Head of Procurement Operations and Plant Controller (level 3)

8. Weekly discrepancy review and KPIs

Procurement Operations publishes a weekly report that reconciles contract prices, ERP price records and invoice prices for all sites. The report tracks the number of open discrepancies, the value blocked and the average resolution time. The target is to resolve 90% of discrepancies within 15 business days. For each discrepancy, the root cause is recorded: outdated ERP price record, missing contract update, supplier invoicing error, unit-of-measure mismatch or currency conversion.